

MARKETING RESEARCH PROJECT

Reaching Every Shelf:

Danone Egypt's Distribution and Availability Challenge

Applying Malhotra's Marketing Research Process (Chapters 1 to 5)

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What This Project Covers

1

The Problem

Danone's reach gap vs Juhayna

2

Problem Definition

Decision problem, research problem, hypotheses

3

Research Design

Exploratory + descriptive, secondary data

4

Qualitative Research

Depth interviews with shop owners

5

The Survey

Live consumer survey and analysis plan

6

Recommendations

Answering the management question

THE PROBLEM

Danone Reaches Far Fewer Shops Than Juhayna

In Egypt's dairy market the battle is won at the small grocery store. Juhayna's vast owned fleet puts it on far more shelves than Danone.

~243,000

outlets reached by Juhayna

~100,000

points of sale reached by Danone

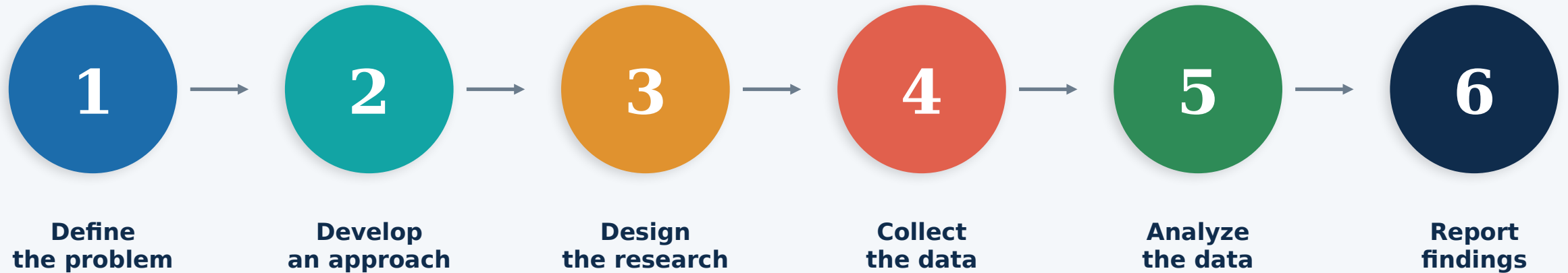
~40-60%

coverage gap vs Juhayna

Why it matters

Small traditional grocers are 96.6% of all outlets and about 74% of dairy sales. When Danone is not on the shelf, shoppers simply buy whatever brand is there.

The Marketing Research Process We Followed



How this maps to our report: Steps 1-2 are Chapter 2, Step 3 is Chapter 3, Step 4 is Chapters 4 and 5 (interviews + survey), Steps 5-6 are the analysis and this report.

The Company and the Market

Danone Egypt

- Competes in dairy: yogurt, Activia, and Danette desserts
- Strategy built on premium, branded, value-added products
- Activia grew in 2024 on a gut-health and immunity message
- Competes through brand strength, not mass reach

The Egyptian Dairy Market

- Worth about USD 2.37 billion in 2024 and growing fast
- Crowded: Juhayna, Domty, Almarai/Beyti, Lactalis, Danone
- Local champions are vertically integrated and low cost
- Traditional small shops dominate distribution and sales

Defining the Problem

Management Decision Problem

What should management DO?

“Should Danone Egypt expand its distribution reach to compete with Juhayna's coverage in the Egyptian dairy market?”

Marketing Research Problem

What INFORMATION do we need?

Determine how limited availability affects consumers' yogurt choices and Danone's lost sales, and identify the distribution barriers from the retailer's side.

Research Questions and Hypotheses

We test four hypotheses with the survey data:

H
1

Availability significantly influences which yogurt brand consumers choose.

H
2

Danone's perceived availability is significantly lower than Juhayna's.

H
3

Many consumers have switched away from Danone because it was not available.

H
4

The availability gap is wider in rural areas than in major cities.

Research Design: A Combination Approach

Exploratory

Understand the issue

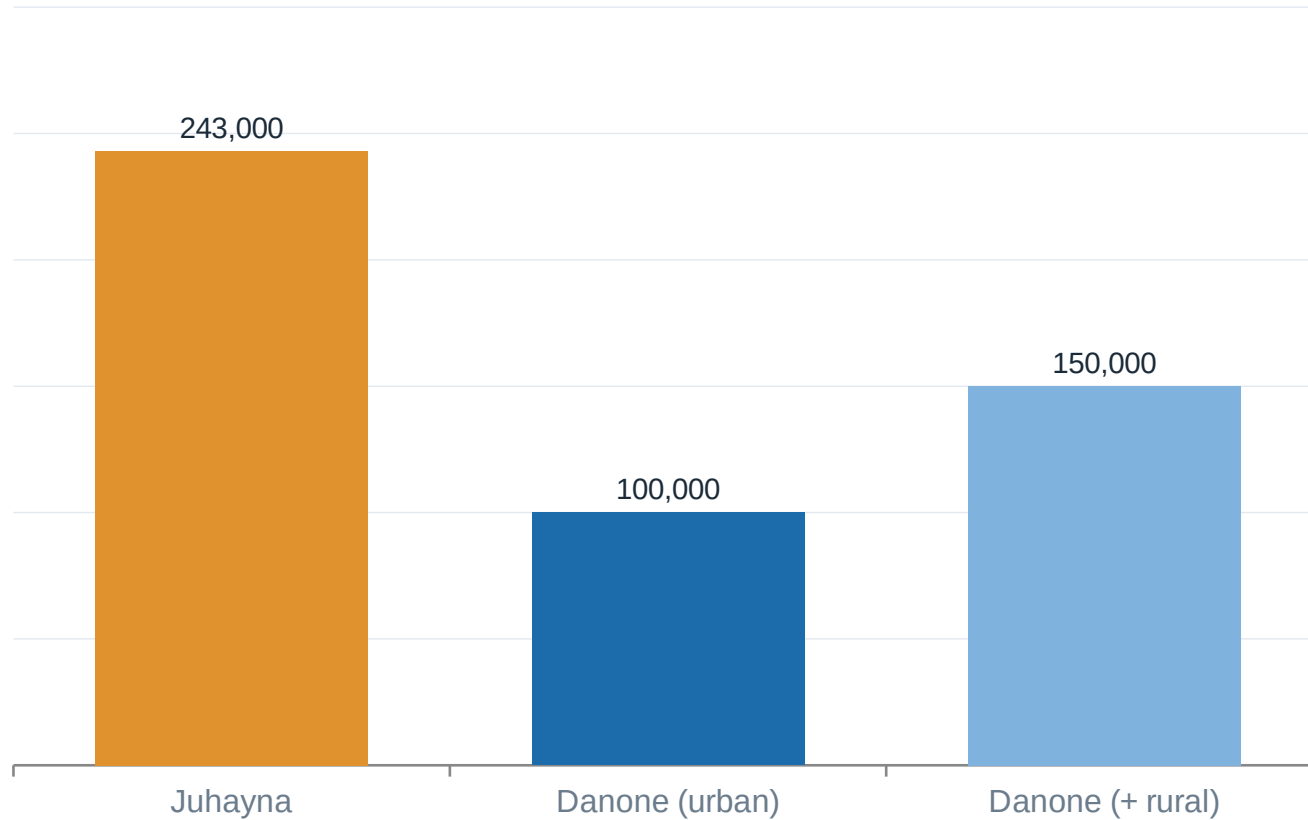
- Secondary data on the dairy market and distribution networks
- Qualitative depth interviews with small-shop owners
- Shapes and sharpens the survey questions

Descriptive

Quantify the relationships (cross-sectional)

- A single structured consumer survey
- Measures availability, brand choice, and switching
- Tests the four hypotheses with real respondents

Secondary Data: The Distribution Gap



By the numbers

- Juhayna: 39 distribution centers, 1,000+ vehicles
- Danone: 31 centers (7 direct, 24 indirect)
- Danone rural reach via ~380 micro-distributors
- Juhayna's network is hard and costly to replicate

The Small Shop Decides the Game

96.6%

of all retail outlets in Egypt

74%

of total dairy sales

113,724

traditional grocers
nationwide

\$2.37B

dairy market size, 2024

When the decisive channel is the neighbourhood shop, shelf presence is everything.

Qualitative Research: The Retailer's Side

Method

- Semi-structured depth interviews, 10 to 15 minutes
- 3 to 5 small grocery owners, mixing city and village
- Depth interviews, not focus groups: retailers are rivals and busy
- Explains WHY the availability gap exists

What we ask

- Which yogurt brands do you stock, and which sells most?
- How often does the Juhayna rep visit versus the Danone rep?
- Delivery, credit terms, returns, and fridge support?
- Do customers ask for Danone when it is not there?

The Survey: Our Primary Data

Live electronic survey (Google Forms)

- Self-administered, in Egyptian Arabic, about 4 minutes
- Distributed via WhatsApp and social media
- Convenience and snowball sampling, target 100 to 150
- Six sections: screening, where they buy, choice drivers, availability, attitudes, demographics
- Fast, low cost, wide reach; online skew noted as a limitation

Each question earns its place

H1 - importance of availability

H2 - availability grid: Danone vs Juhayna

H3 - preferred vs actually-bought gap

H4 - availability split by area type

How We Will Analyze the Data

Profile

Sample size and demographic / geographic profile

Choice drivers

Rank availability against price, taste, and health

Availability gap

Compare Danone vs Juhayna availability scores

Lost sales

Share who could not find Danone and what they did

Preferred vs bought

Measure switching from the brand-preference gap

Urban vs rural

Cross-tab availability by area type for H4

Preliminary Recommendations

Pending the survey results, the evidence already points to four directions:

Close the gap where it hurts

Prioritize coverage in dense traditional-trade areas where small shops drive most sales.

Partner to scale reach

Use third-party or partner distribution to widen reach faster and cheaper than an owned fleet.

Win the shelf

Improve rep visit frequency, refrigeration, and trade terms to earn space from rivals.

Grow rural smartly

Scale micro-distribution where conventional cold-chain logistics are not yet viable.

Thank You

Questions and discussion

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